

Like Pascal, I will therefore state the following argument. If the science of statistics can benefit me in anything, I will use it. If it poses a threat, then I will not. I want to take the best of what the past can give me without its dangers. Accordingly, I will use statistics and inductive methods to make aggressive bets, but I will not use them to manage my risks and exposure. Surprisingly, all the surviving traders I know seem to have done the same. They trade on ideas based on some observation (that includes past history) but, like the Popperian scientists, they make sure that the costs of being wrong are limited (and their probability is not derived from past data). Unlike Carlos and John, they know before getting involved in the trading strategy which events would prove their conjecture wrong and allow for it (recall that Carlos and John used past history both to make their bets and measure their risk). They would then terminate their trade. This is called a *stop loss*, a predetermined exit point, a protection from the black swan. I find it rarely practiced.

Thank You Solon

Finally, I have to confess that upon finishing my writing of Part I that writing about the genius of Solon's insight has carried an extreme effect on both my thinking and my private life. The composition of Part I made me even more confident in my withdrawal from the media and my distancing myself from other members of the business community, mostly other investors and traders for whom I am developing more and more contempt. I am currently enjoying a thrill of the classics I have not felt since childhood. My mind, by escaping the news pollution, allowed me to evade the bull market that prevailed over the past 15 years (and professionally benefit from its demise). I am now thinking of the next step: to recreate a low-information, more deterministic ancient time, say in the nineteenth century, all the while benefiting from some of the technical gains (such as the Monte Carlo engine), all of the medical breakthroughs and all the gains of social justice of our age. I would then have the best of everything. This is called evolution.

PART II



MONKEYS ON TYPEWRITERS - SURVIVORSHIP AND OTHER BIASES